

THE LAW AND LEARN STUDIO

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CA FOUNDATION | PAPER 2 | BUSINESS LAWS

SMART QUESTION BANK — PART 1

THE INDIAN CONTRACT ACT, 1872

Units 1 to 9

Application-Based Questions · Model Answers · Examiner's Answer-Writing Framework

Part 2 of this Question Bank covers the remaining enactments of the syllabus —

The Sale of Goods Act, 1930 · The Indian Partnership Act, 1932 · The Limited Liability Partnership Act, 2008

The Companies Act, 2013 · The Negotiable Instruments Act, 1881

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About Us

The Law and Learn Studio is built on one idea: understand with clarity today and write with confidence in your exams.

It is founded by CS Pearl Dsouza - a Company Secretary and lawyer who has spent years teaching Business Laws to CA Foundation and CSEET students in the classroom, and has watched the same gap appear year after year: students who know the Act but freeze when a problem is set instead of a definition asked.

This Question Bank exists to close that gap. Every question in it is built the way an examiner builds one around facts, not just around sections, so that by the time you reach the exam hall, the transition from “I know this provision” to “I can apply this provision” has already happened.

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Preface

The Indian Contract Act, 1872 is the largest chapter in Paper 2, and the one students believe they've finished long before they have. It reads easily: offer, acceptance, consideration, free consent. That readability is exactly what makes it dangerous. The confidence it creates collapses the moment a problem is set instead of a definition asked.

This is Part 1 of a two-part Question Bank, covering all nine units of the Act. Part 2 covers the remaining enactments of the syllabus — the Sale of Goods Act, 1930; the Indian Partnership Act, 1932; the Limited Liability Partnership Act, 2008; the Companies Act, 2013; and the Negotiable Instruments Act, 1881.

Nothing here replaces the ICAI Study Material, or the RTPs, MTPs, and past papers that remain the floor of preparation. What this book adds is the layer above that floor: fact comprehension and structured application reading a set of facts accurately, and applying the right provision to them. That is what recent papers, most visibly May 2026, have shifted toward testing, and it is what most preparation still doesn't practise.

Every model answer here follows a labelled three-step form — Provision, Application, Conclusion — explained in full in “How to Use This Question Bank.”

Case law outside the Study Material has been deliberately excluded, however well known, so that nothing in this book takes a student outside the four corners of what ICAI actually expects.

Errors are possible in a work of this size. Where you find one, please write to us — it will be corrected.

DISCLAIMER: This Question Bank is a study aid and does not replace the ICAI Study Material, RTPs, MTPs or Suggested Answers. The questions in Parts A and B and all suggested answers and mark allocations are the author's own and are indicative only; they are not official answers, and the award of marks rests with the Institute. Questions in Part C are reproduced from the May 2026 examination paper for the purposes of study and comment, copyright in which vests in the ICAI. The law is stated up to July 2026 and is subject to amendment. Nothing here is legal or professional advice. While every effort has been made to ensure accuracy, no liability is accepted for any loss arising from reliance on this book; errors may be reported to us for correction. This publication is not endorsed by or associated with the Institute of Chartered Accountants of India.

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How to Use This Question Bank

Unit Overviews

Every unit in this book opens with a short Unit Overview - an exhaustive list of the topics, sections, and concepts covered in that unit. This is not a summary meant to replace reading the unit, and it should not be relied on as a substitute for working through the questions themselves. Its purpose is narrower and more practical: at the time of revision, it lets you glance at one page and check off what you already know cold, and what still needs another pass, before you go back into the questions.

Structure of Each Unit

Every unit in this book is organised into three parts.

- **Part A — Case Study Based Questions.** Fact-pattern problems, built the way the examiner builds them — a scenario involving named parties, dates, and specific circumstances, followed by a question that asks you to apply the law to those facts.
- **Part B — Descriptive Questions.** These test the provision itself — definitions, exceptions, distinctions (e.g., penalty vs. liquidated damages), and theory-based questions that ICAI continues to ask directly, even in a paper otherwise weighted toward application.
- **Part C — Examination Question.** Wherever a recent ICAI paper (such as May 2026) has drawn a question from that unit, it is reproduced here in full, with its official mark split, so you can see exactly how the unit has actually been tested — sub-parts included, even where a sub-part belongs to a different unit.

Suggested answers for all three parts are placed at the end of each unit, part by part, and not at the end of the book. Attempt the question first — ideally in a separate notes and check your answer against the model while it is still fresh.

The Answer-Writing Framework

Every suggested answer to a Part A case study follows a fixed three-step structure:

1. **Provision** — the governing section, stated in the language of the Act, with the section number.
2. **Application** — the provision mapped onto the specific facts given, naming the parties.
3. **Conclusion** — the answer to the question actually asked.

This is not a stylistic choice, it mirrors how marks are actually allotted in a problem-based question. A correct conclusion without the provision behind it earns very little; naming the provision without applying it to the facts earns even less. Writing in this order, every time, is the single easiest improvement most candidates can make to their score.

Part B answers follow the same discipline wherever a provision is being explained, but are structured to fit the descriptive format — definition, explanation, and illustration where relevant.

Marks and Marking Scheme

Marks are indicated for every question, and split across sub-parts wherever a question carries more than one, so you can evaluate, before attempting a question — how long the expected answer should be.

Each unit also closes with a marking scheme showing how the marks for every question are actually allotted: statement of the correct provision (with section number and, where relevant, case law), application to the facts, and conclusion, each weighted separately.

For computation-based sub-parts, the scheme separates marks for the correct method from marks for the correct final figures. Use this to see precisely where marks are won and lost — not only whether your final answer matched the suggested one.

The Marking Convention

Unless the marking scheme for a particular question says otherwise, marks in this book are allotted as follows. In a case-study sub-part, half the marks go to the statement of the governing provision with its section number, and the other half is divided between the application of that provision to the facts and the conclusion. In a descriptive answer, the statement of the general rule with its section reference carries the first mark, and each further point correctly stated and briefly explained carries half a mark up to the marks remaining. In a computation, the method and the final figure are marked separately, so a correct figure with no working will not earn full marks. Where a sub-part asks only for the law and not for its application to any facts, the whole of that sub-part is marked on the points stated.

How Long Should Your Answer Be?

A great many marks are lost each year not because the candidate did not know the law, but because he spent on one question the time that four questions needed. As a working rule in the examination hall: a four-mark descriptive question deserves about half a page, or six to eight crisp points; a six-mark case study with three sub-parts deserves about two-thirds of a page in all, which is roughly eight to ten lines for each sub-part — a sentence or two for the provision, two or three for the application, and one for the conclusion; and a seven-mark question deserves about a page. Length beyond that earns nothing.

Several of the suggested answers in this book run longer than those limits. That is deliberate, and it is not a model of length. They are written to teach the provision and to show why the conclusion follows, and they often cover ground that the question itself did not demand. What you are expected to reproduce in the hall is what the marking scheme prices. Read the answer for understanding; write to the marking scheme.

A Note on Weighting

The number of questions given in a unit reflects the size of that unit in the Act — not its weight in the examination. Unit 4, on the performance of contracts, is the largest set of questions in this volume and was not touched at all in May 2026; Unit 6, on contingent and quasi-contracts, is among the smallest and carries some of the most easily secured marks in the paper. Do not plan your revision by counting pages. Plan it from the map that follows.

The Examiner's Map: May 2026 paper analysis and Your Last Month preparation strategy

The May 2026 paper is the most reliable single guide available to how this chapter is now being tested. Set out below, unit by unit, is what that paper actually asked from the Indian Contract Act, 1872, what it left alone, and where a candidate with limited time should spend it. Read this page before you plan your revision, and read it again in the last week.

Unit 1 • Nature of Contracts — not asked as a question of its own. It nevertheless decided the first limb of Question 1(a), where the counter-offer and the absence of consensus ad idem had to be settled before the agency points could be reached. Treat this unit as **foundation** rather than as a scoring unit: offer and invitation to offer, counter-offer, and the **rules of communication** and revocation must be secure, because they surface inside questions set from other units.

Unit 2 • Consideration — asked directly, as a short descriptive question on the exceptions to the doctrine of privity of contract. It is reproduced in this book as Question 11 of Part B. Section 25 and privity, taken together, are the highest-yielding theory in the first three units.

Unit 3 • Other Essential Elements — not asked in May 2026. It remains, over the longer run, the most heavily examined of the first three units: minors' agreements, coercion and undue influence, fraud and misrepresentation, and agreements opposed to public policy recur constantly, and almost always as case studies. Do not read the silence of one paper as a reason to leave it.

Unit 4 • Performance of Contract — not asked at all in May 2026, and it is the largest set of questions in this volume. That combination is a trap in both directions. Do not spend a third of your remaining time here because the unit is long; and do not skip it, because appropriation of payments, joint promisors and supervening impossibility are perennial favourites and are being asked in the papers on either side of this one. Work the case studies; read the descriptive questions.

Unit 5 • Breach of Contract and its Remedies — nine marks in May 2026 — Question 3(c) for six marks, on vindictive and exemplary damages and on the principles distinguishing a penalty from liquidated damages, and Question 6(b), Option 2(i) for three marks, on the remedies of a party defrauded. Sections 73, 74 and 75, and the rule in Hadley v. Baxendale, must be at your fingertips.

Unit 6 • Contingent and Quasi Contracts — not asked in May 2026. It is nevertheless the cheapest unit in the chapter: the rules in Sections 31 to 36 and 68 to 72 are short, definite and easy to apply, and a question from here is either answered fully or not at all. Two clear hours on this unit is time well spent.

Unit 7 • Indemnity and Guarantee — seven marks in May 2026, at Question 4(a): contribution among co-sureties bound in different sums under Section 147, the set-off arising from a security lost by the creditor under Section 141, and discharge by variance under Section 133 — with a computation. High priority.

Unit 8 • Bailment and Pledge — six marks in May 2026, at Question 6(b), set in the alternative: the rights of a finder of lost goods and the rights of a pawnee under Option 1, and the termination of bailment under Option 2. High priority.

Unit 9 • Agency — seven marks in May 2026, at Question 1(a), and the question was composite: sub-part (i) turned on offer and consideration, and sub-parts (ii) and (iii) on the agent's duty under Section 211, his liability under Section 228 and misrepresentation under Section 18. Highest priority of the three closing units, because it was tested through a fact pattern rather than a definition.

If You Have Four Weeks

Week 1 — Units 7, 8 and 9. They carried twenty of the thirty-three marks drawn from this chapter in May 2026, and all three were set as problems. Work Part A before Part B.

Week 2 — Unit 5, then Units 2 and 3. Damages and the remedies for breach first, because they were asked; free consent and consideration next, because they are asked most often over time.

Week 3 — Unit 4 and Unit 1. Case studies in Unit 4; a single careful reading of the descriptive answers. Unit 1 alongside, as revision rather than as fresh study.

Week 4 — Unit 6 in full, since it is short and reliably scored, and then the Part C questions of every unit, in one sitting, under timed conditions. Those are the questions the examiner has actually set; they are the closest thing you have to the paper you are about to write.

The marks attributed to May 2026 in this page are those of the questions reproduced in Part C of each unit. Where a single question of the paper drew on more than one unit, it has been placed in the unit that carries the substance of the answer, and reproduced in full so that no sub-part is lost.

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Part 2 of this Question Bank. This volume covers the Indian Contract Act, 1872 alone, being Chapter 2 of the syllabus. The remaining enactments are dealt with in Part 2 — the Sale of Goods Act, 1930 (Chapter 3), the Indian Partnership Act, 1932 (Chapter 4), the Limited Liability Partnership Act, 2008 (Chapter 5), the Companies Act, 2013 (Chapter 6) and the Negotiable Instruments Act, 1881 (Chapter 7). The two volumes follow the same structure, the same answer-writing framework and the same marking-scheme conventions, and are meant to be used together.

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CHAPTER 2

THE INDIAN CONTRACT ACT, 1872

Units 1 to 9 | Sections 1 to 238

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UNITS 1, 2 & 3

Nature of Contracts · Consideration · Other Essential Elements of a Contract

Sections 1 to 30

Part A — Case Studies (10 × 6 = 60 Marks) · Part B — Descriptive Questions (7 × 4 = 28 Marks)

Unit 1 · Nature of Contracts

Learning Outcomes

- **Core Concepts:** Define Offer, Acceptance, Agreement, and Contract, and understand the distinction between an agreement and a contract.
- **Validity Criteria:** Understand the essential elements required to form a valid, legally enforceable contract under Section 10 and general law.
- **Classifications:** Master the classification of contracts based on Enforceability/Validity, Formation, and Performance.
- **Rules of Communication:** Analyze the legal rules governing Communication and Revocation of proposals and acceptances.

Overview

- **Contract Definition (Sec 2(h)):** An agreement enforceable by law. (Contract = Agreement + Legal Enforceability).
- **Agreement (Sec 2(e)):** Every promise and set of promises forming consideration for each other.
- **Essentials under Sec 10:** Free consent, competent parties, lawful consideration, lawful object, and not expressly declared void.
- **General Essentials:** Two distinct parties, intention to create legal obligations (Balfour v. Balfour), certainty of terms, legal formalities, and possibility of performance.
- **Types by Validity:** Valid, Void (ceases enforceability), Voidable (enforceable at option of aggrieved party), Illegal (forbidden by law, collateral contracts void), Unenforceable (technical defect).
- **Types by Formation & Performance:** By formation — express, implied or tacit, quasi-contracts and e-contracts. By performance — executed and executory, an executory contract being either unilateral or bilateral.
- **Offer vs. Invitation to Offer:** Offer (Sec 2(a)) expresses willingness to obtain assent. Invitation to offer invites offers/negotiations (e.g., price catalogues, prospectus, shop display).
- **Communication Rules (Sec 4 & 5):** Offer complete when known to offeree. Acceptance complete against proposer when posted; against acceptor when received. Revocation of offer must happen before acceptance is posted.

High-Priority Topics for the Examination

1. Difference between Offer and Invitation to Offer (Frequent case study / theory question).

2. Legal Rules of Valid Offer & Acceptance (Cross-offer, Counter-offer, Silence does not amount to acceptance - Felthouse v. Bindley).
3. Communication & Revocation of Offer and Acceptance (Practical timeline/posting questions).
4. Distinction between Void and Voidable Contracts / Illegal Agreements.

Unit 2 · Consideration

Learning Outcomes

- **Concept of Consideration:** Define Consideration (quid pro quo) and understand its double aspect (benefit to promisor / detriment to promisee).
- **Legal Rules:** Grasp legal rules of consideration, including how consideration may move from the promisee or a third party.
- **Privity of Contract:** Understand the 'Doctrine of Privity of Contract' (a stranger to a contract cannot sue) along with its critical exceptions.
- **No Consideration Rule:** Analyze the rule 'No Consideration, No Contract' (Sec 25) and its statutory exceptions.

Overview

- **Definition (Sec 2(d)):** An act, abstinence, or promise done/made at the desire of the promisor by the promisee or any other person.
- **Rules of Consideration:** Must move at the desire of promisor (Durga Prasad v. Baldeo); May move from promisee or third party (Chinnayya v. Ramayya); May be past, present, or future; Need not be adequate; Cannot be an existing legal duty.
- **Privity of Contract:** Stranger to consideration CAN sue, but stranger to a contract CANNOT sue.
- **Exceptions to Privity Rule:** Beneficiary under Trust, Family Settlement, Marriage arrangements, Assignment of contract, Estoppel/Acknowledgement, Covenants running with land, Contracts via Agent.
- **Exceptions to 'No Consideration, No Contract' (Sec 25):** (1) a promise made out of natural love and affection, which must be in writing, registered, and between parties standing in a near relation to each other; (2) a promise to compensate for a past voluntary service; (3) a written and signed promise to pay a time-barred debt; (4) agency, which requires no consideration under Section 185; (5) a completed gift; (6) bailment; and (7) a charitable subscription on the faith of which a liability has been incurred.

High-Priority Topics for the Examination

1. Exceptions to the Doctrine of Privity of Contract (Stranger to contract cannot sue) [Tested in May 2026 Paper].
2. Exceptions to 'No Consideration, No Contract' (Sec 25) — Focus on Natural Love & Affection, Past Voluntary Services, and Time-Barred Debts.
3. Legal Rules of Consideration (Third-party consideration and inadequacy of consideration).

Unit 3 · Other Essential Elements of a Contract

Learning Outcomes

- **Capacity to Contract:** Identify who is competent to contract under Section 11.
- **Minor's Legal Position:** Master the detailed legal consequences and rules governing agreements with minors.
- **Vitiating Elements of Consent:** Understand Free Consent (Sec 14) and differentiate Coercion, Undue Influence, Fraud, Misrepresentation, and Mistake.
- **Legality of Object & Public Policy:** Analyze when consideration/object is unlawful or opposed to public policy (Sec 23).
- **Void Agreements:** Identify agreements expressly declared void (Restraint of Trade, Wagering Contracts).

Overview

- **Capacity to Contract (Sec 11):** Major (18+ yrs), Sound mind, Not disqualified by law (Alien enemy, convict, insolvent).
- **Minor's Position (Mohori Bibi Case):** Void ab-initio; No ratification after majority; Can be beneficiary; Always plead minority (No estoppel); Estate liable for necessities (Sec 68, no personal liability); Minor as Agent.
- **Coercion (Sec 15):** Physical force/threat, forbidden by IPC, unlawful detaining. Threat to commit suicide = coercion. Contract is Voidable.
- **Undue Influence (Sec 16):** Dominating will of another for unfair advantage (Moral pressure). Presumed in fiduciary relations. Contract is Voidable.
- **Fraud (Sec 17) vs. Misrepresentation (Sec 18):** Fraud is a false representation made knowingly, or without belief in its truth, with intent to deceive; mere silence is not fraud unless there is a duty to speak or the silence is itself equivalent to speech. The party defrauded may rescind and also claim damages. Misrepresentation is a false statement made innocently, in the belief that it is true; the remedy is rescission, or insistence on performance, but not damages.
- **Mistake:** Mistake of Indian Law = Valid. Foreign Law = Mistake of Fact. Bilateral Mistake of Fact = Void.
- **Unlawful Object & Public Policy (Sec 23):** Forbidden by law, defeats law, fraudulent, injury to person/property, immoral, or opposed to public policy (Stifling prosecution, Champerty/Maintenance, Trafficking public offices).
- **Wagering Agreements (Sec 30):** Promise to pay money on uncertain event with mutual chances of win/lose. Void.

High-Priority Topics for the Examination

1. Minor's Legal Position (Case study on necessities / pleading minority / no ratification).
2. Coercion vs. Undue Influence & Fraud vs. Misrepresentation (Distinction & Practical case studies).
3. 'Silence does not amount to Fraud' and its exceptions (Duty to speak / Silence equal to speech).
4. Agreements Opposed to Public Policy (Stifling prosecution, Maintenance & Champerty).
5. Wagering Agreements vs. Insurance Contracts.

Part A — Case Studies

Question 1. Offer, Invitation to Offer and General Offer [Unit 1]

(6 Marks)

Swasthya Ayurveda Limited, Nashik, issued an advertisement in leading newspapers that any person who consumes its 'Immuno Tonic' twice daily for one month as per the printed directions and still contracts seasonal influenza would be paid a reward of ₹50,000. The advertisement further stated that the company had deposited ₹10 lakh in a separate bank account to show its sincerity in the matter.

Mrs. Kulkarni purchased a bottle of Immuno Tonic from a chemist shop in Mumbai, where the bottle was displayed on the shelf with a price tag. She consumed the tonic strictly as per the printed directions for one month, but still contracted influenza. When she claimed the reward, the company refused, contending that (a) the advertisement was a mere commercial puff and not an offer, (b) the display of the bottle in the shop was itself only an invitation to offer, so no contract arose with the company, and (c) in any case, Mrs. Kulkarni never communicated her acceptance to the company.

Advise on the following matters:

- (i) Whether the display of the bottle with a price tag in the chemist shop amounts to an offer by the company.
- (ii) Whether the advertisement of reward amounts to a valid offer capable of acceptance, and whether separate communication of acceptance by Mrs. Kulkarni was necessary.
- (iii) Whether Mrs. Kulkarni is entitled to recover the reward of ₹50,000.

Analyzing the applicable provisions of the Indian Contract Act, 1872, advise Mrs. Kulkarni.

Question 2. Communication and Revocation of Offer and Acceptance [Unit 1]

(6 Marks)

Mr. Anil of Mumbai wrote a letter on 1st August offering to sell his printing machine to Mr. Bala of Pune for ₹8 lakh. The letter was posted on 1st August and reached Mr. Bala on 4th August. On reading the letter, Mr. Bala immediately wrote back on 4th August enquiring whether Mr. Anil would be willing to accept payment in two instalments; Mr. Anil did not reply to this enquiry.

On 6th August, Mr. Bala posted a letter unconditionally accepting the offer at ₹8 lakh; this letter reached Mr. Anil on 9th August. Meanwhile, Mr. Anil, having found another buyer at a higher price, posted a letter of revocation of his offer on 5th August, which reached Mr. Bala only on 8th August. Mr. Anil now contends that there is no contract, since (a) Mr. Bala's enquiry of 4th August amounted to a counter-offer which terminated the original offer, and (b) in any event, he had revoked his offer before his letter of acceptance reached him.

Advise on the following matters:

- (i) State when the communication of the offer and of the acceptance was complete in the present case, as against each party.
- (ii) Whether the enquiry made by Mr. Bala on 4th August amounted to a counter-offer terminating the original offer.
- (iii) Whether the revocation of the offer by Mr. Anil is valid and whether a binding contract has come into existence.

Analyzing the applicable provisions of the Indian Contract Act, 1872, advise the parties.

Question 3. Acceptance by Silence and Intention to Create Legal Relations [Unit 1] (6 Marks)

Mr. Deshpande wrote to his nephew Ajay offering to buy Ajay's second-hand car for ₹3 lakh, adding: "If I hear no more from you by Sunday, I shall consider the car mine at ₹3 lakh." Ajay did not reply, though he privately decided to sell the car to his uncle and told the garage keeper not to sell it to anyone else. Before any further communication, the garage keeper by mistake sold the car to a third party. Mr. Deshpande now wishes to sue the garage keeper contending that a concluded contract existed between him and Ajay.

Around the same time, Mr. Deshpande, before leaving for employment abroad, promised his wife that he would send her ₹15,000 per month for household expenses during his absence. After a matrimonial dispute arose, he stopped sending the amount, and his wife wishes to sue him for the arrears.

Mr. Deshpande had also orally agreed to sell his old scooter to his colleague Mr. Firoz for ₹40,000. Mr. Firoz now refuses to perform, contending that an oral agreement for sale of goods is not enforceable unless reduced to writing.

Advise on the following matters:

- (i) Whether a concluded contract came into existence between Mr. Deshpande and Ajay merely because Ajay remained silent and mentally decided to sell.
- (ii) Whether the wife can succeed in a suit for recovery of the monthly allowance promised by Mr. Deshpande.
- (iii) Whether the contention of Mr. Firoz that an oral agreement is not enforceable, is tenable.

Analyzing the applicable provisions of the Indian Contract Act, 1872, advise the parties.

Question 4. Privity of Contract and Consideration from a Third Party [Unit 2] (6 Marks)

Smt. Radhabai, an elderly lady of Pandharpur, gifted her landed property to her daughter Sushila by a registered deed, with a direction that Sushila shall pay an annuity of ₹12,000 every year to Radhabai's sister Vimal (i.e., Sushila's maternal aunt). On the same day, Sushila executed a writing in favour of her aunt Vimal agreeing to pay the annuity.

Sushila paid the annuity for two years and thereafter stopped the payment, contending that her aunt Vimal was a stranger to the gift deed between Radhabai and herself, that no consideration whatsoever had moved from Vimal, and that therefore Vimal cannot maintain any suit against her.

Advise on the following matters:

- (i) State the doctrine of privity of contract and the rule regarding the person from whom consideration may move under the Indian Contract Act, 1872.
- (ii) Whether Vimal can recover the annuity from Sushila despite not being a party to the gift deed and despite no consideration having moved from her.
- (iii) State any two other exceptions to the doctrine of privity of contract.

Analyzing the applicable provisions of the Indian Contract Act, 1872, advise Vimal.

Question 5. No Consideration, No Contract and its Exceptions [Unit 2] (6 Marks)

Mr. Madhav, out of natural love and affection for his younger brother Keshav, orally promised to pay him ₹2 lakh to help him set up a small business. Later, on the advice of his lawyer, Madhav

executed a written and registered document promising to pay the said sum, but subsequently refused to pay, saying that Keshav had given nothing in return.

During a fire in Madhav's warehouse, his neighbour Mr. Salunkhe voluntarily rushed in and saved goods worth several lakhs at considerable personal risk. Touched by this, Madhav promised to pay Salunkhe ₹25,000 as compensation for what he had done, but has now gone back on his word.

Madhav also owed ₹50,000 to Mr. Trivedi, which had become time-barred under the Limitation Act. On Trivedi's persistent requests, Madhav signed a written promise to pay him ₹30,000 out of the time-barred debt.

Advise on the following matters:

- (i) Whether Keshav can enforce the promise of ₹2 lakh, and what difference the written and registered document makes.
- (ii) Whether Salunkhe can recover ₹25,000 promised for his past voluntary services.
- (iii) Whether Trivedi can recover ₹30,000 on the basis of the fresh written promise, though the original debt is time-barred.

Analyzing the provisions of Section 25 of the Indian Contract Act, 1872, advise the parties.

Question 6. Legal Rules of Consideration [Unit 2]

(6 Marks)

Mrs. Patwardhan, with her free consent, agreed to sell her car worth ₹6 lakh to her neighbour Mr. Nadkarni for ₹1 lakh only, as she was migrating abroad and wanted a quick disposal. After the agreement, her son objected to the low price, and she now wishes to avoid the contract on the sole ground that the consideration is grossly inadequate.

In the same locality, the Municipal Council announced a reward for information leading to the detection of persons illegally dumping construction debris. Head Constable Pawar, who was already posted on duty to patrol the very same area, furnished such information in the course of his duty and now claims the reward from the Council.

Meanwhile, at the desire of the Collector of the district, Mr. Joshi constructed a row of shops in a newly developed market at his own expense. A shopkeeper, Mr. Lele, who occupied one of the shops, promised to pay Mr. Joshi a commission on the articles sold through his shop in consideration of Joshi having constructed the market, but later refused to pay.

Advise on the following matters:

- (i) Whether Mrs. Patwardhan can avoid the contract merely on the ground of inadequacy of consideration.
- (ii) Whether Head Constable Pawar is entitled to the reward for performing what was already his official duty.
- (iii) Whether Mr. Joshi can recover the promised commission from Mr. Lele.

Analyzing the applicable provisions of the Indian Contract Act, 1872, advise the parties.

Question 7. Minor's Agreements [Unit 3]

(6 Marks)

Rohit, aged 17 years but looking much older, approached Sahakar Finance for a loan of ₹1 lakh, representing in the application form that he was 19 years of age. Believing the representation, the financier advanced the loan against a promissory note executed by Rohit, who spent the amount on a motorcycle and a foreign trip. On default, the financier sued Rohit on the promissory note; Rohit

pleaded minority. The financier contends that Rohit, having fraudulently misrepresented his age, is estopped from pleading minority.

Two months after attaining majority, Rohit, feeling morally bound, executed a fresh promissory note in favour of the financier for the same amount of ₹1 lakh in 'ratification' of the earlier transaction, but again failed to pay.

During his minority, a local store had also supplied Rohit — whose parents were abroad — with clothing, food articles and study materials suited to his station in life, for which ₹40,000 remains unpaid. Rohit owns agricultural land inherited from his grandfather.

Advise on the following matters:

- (i) Whether the financier can enforce the loan agreement against Rohit, and whether Rohit is estopped from pleading his minority.
- (ii) Whether the fresh promissory note executed by Rohit after attaining majority is enforceable as a ratification of the earlier transaction.
- (iii) Whether the store can recover ₹40,000 for the necessities supplied to Rohit during his minority, and from whom or what.

Analyzing the applicable provisions of the Indian Contract Act, 1872, advise the parties.

Question 8. Coercion and Undue Influence [Unit 3]

(6 Marks)

Smt. Ganga, an elderly and illiterate widow of Akkalkot, was deeply devoted to her spiritual guru, Swami Anandgiri, and acted entirely on his advice in all worldly matters. The Swami induced her to gift her only house to his ashram, assuring her that the gift would secure benefits to her soul in the next world. After the gift deed was executed, her son discovered the transaction and wishes to have it set aside.

In another incident in the same town, Mr. Bhairav, wanting to obtain a release deed of certain joint family property from his wife and son in his sole favour, threatened to commit suicide if they did not execute the release deed. Out of fear for his life, the wife and son executed the deed, and now wish to avoid it. Mr. Bhairav contends that a threat to commit suicide is not an act 'forbidden by the Indian Penal Code', since attempt to suicide is punishable but suicide itself is not, and hence there was no coercion.

Advise on the following matters:

- (i) Whether the gift executed by Smt. Ganga in favour of the ashram can be set aside, and on what ground.
- (ii) Whether the release deed executed by the wife and son of Mr. Bhairav under threat of suicide can be avoided as having been obtained by coercion.
- (iii) State any three points of distinction between coercion and undue influence.

Analyzing the applicable provisions of the Indian Contract Act, 1872, advise the aggrieved parties.

Question 9. Fraud, Misrepresentation and Silence [Unit 3]

(6 Marks)

Mr. Wagh offered his second-hand car for sale to Mr. Yadav. Mr. Wagh was fully aware that the engine of the car had a serious defect, but he kept complete silence about it, and Mr. Yadav, without making any enquiry or inspection, purchased the car. On discovering the defect, Mr. Yadav wishes to avoid the sale on the ground of fraud.

Mr. Wagh had also sold his mare to Mr. Zende. At the time of sale, Mr. Wagh honestly stated that the mare was sound in all respects, genuinely believing his statement to be true; in fact, unknown to him, the mare had a latent unsoundness. Mr. Zende wants to rescind the contract and also claim damages from Mr. Wagh.

Separately, Mr. Wagh proposed the marriage of his daughter and, while negotiating with the other family, deliberately concealed the fact that the daughter suffered from a serious recurring illness, though he was specifically aware that the other family was proceeding on the belief that she was in sound health.

Advise on the following matters:

- (i) Whether the silence of Mr. Wagh regarding the engine defect amounts to fraud, entitling Mr. Yadav to avoid the sale.
- (ii) Whether the statement made by Mr. Wagh regarding the mare amounts to fraud or misrepresentation, and what remedies are available to Mr. Zende.
- (iii) Whether the concealment regarding the daughter's health stands on the same footing as the silence regarding the car, or on a different footing.

Analyzing the applicable provisions of the Indian Contract Act, 1872, advise the parties.

Question 10. Unlawful Object, Public Policy and Wagering Agreements [Unit 3] (6 Marks)

Mr. Kadam had filed a criminal complaint against Mr. Landge for a serious non-compoundable offence of cheating and forgery. During the pendency of the case, the parties entered into an agreement under which Mr. Kadam agreed to withdraw the prosecution and not to give evidence, in consideration of Mr. Landge paying him ₹2 lakh. Mr. Landge paid ₹50,000 as advance but refused to pay the balance, and Mr. Kadam wishes to sue for it.

Mr. Kadam had also entered into an agreement with Mr. Mane under which each was to pay the other ₹50,000 depending upon whether India won or lost a particular cricket match; India won, but Mr. Mane refused to pay. Mr. Kadam contends that since betting on the match involved his 'skill of prediction', the agreement is not a wager.

Mr. Kadam has further taken a crop insurance policy on his own standing sugarcane crop by paying premium, and wonders whether such a policy is also in the nature of a wager, since the payment under it depends on the uncertain event of crop failure.

Advise on the following matters:

- (i) Whether the agreement to withdraw the criminal prosecution for ₹2 lakh is enforceable.
- (ii) Whether Mr. Kadam can recover ₹50,000 from Mr. Mane under the agreement relating to the cricket match.
- (iii) Whether the crop insurance policy taken by Mr. Kadam is a wagering agreement.

Analyzing the applicable provisions of the Indian Contract Act, 1872, advise the parties.

Part B — Descriptive Questions

Question 11. Exceptions to the Doctrine of Privity of Contract [Unit 2] [Asked in May 2026 Examination] (4 Marks)

Briefly discuss the exceptions to the rule “Doctrine of privity of contract” as laid down under the provisions of the Indian Contract Act, 1872.

Question 12. Agreement and Contract [Unit 1] (4 Marks)

“All contracts are agreements, but all agreements are not contracts.” Explain this statement with reference to the essential elements of a valid contract under the Indian Contract Act, 1872.

Question 13. Legal Rules of a Valid Acceptance [Unit 1] (4 Marks)

State the legal rules regarding a valid acceptance under the Indian Contract Act, 1872.

Question 14. Exceptions to ‘No Consideration, No Contract’ [Unit 2] (4 Marks)

“An agreement made without consideration is void.” Discuss the exceptions to this rule as provided under Section 25 and other provisions of the Indian Contract Act, 1872.

Question 15. Legal Position of a Minor [Unit 3] (4 Marks)

Explain the legal position of agreements entered into by a minor under the Indian Contract Act, 1872, with reference to the leading case on the subject.

Question 16. Agreements Opposed to Public Policy [Unit 3] (4 Marks)

What do you understand by agreements opposed to public policy? State any six categories of agreements which have been held to be opposed to public policy.

Question 17. Wagering Agreements [Unit 3] (4 Marks)

Define a wagering agreement. State its essential features and the transactions which are held not to be wagers.

Suggested Answers — Part A

Question 1. Offer, Invitation to Offer and General Offer

(i) Display of the bottle in the shop

Provision: The display of goods in a shop with price tags, like a price catalogue or a quotation, is not an offer but only an invitation to offer. The customer, by selecting the goods, makes the offer, which the shopkeeper is free to accept or reject.

Application: The display of the Immuno Tonic bottle on the chemist’s shelf was merely an invitation to offer; the contract of sale of the bottle was between Mrs. Kulkarni and the chemist when her offer to buy was accepted at the counter.

Conclusion: The display did not amount to an offer by the company; however, this contention of the company is irrelevant to the reward, which rests on the advertisement and not on the sale of the bottle.

(ii) The reward advertisement and communication of acceptance

Provision: An offer may be made to the world at large; such a general offer is accepted by any person who performs the conditions of the offer. In *Carlill v. Carbolic Smoke Ball Co. (1893)*, a similar reward advertisement, coupled with the deposit of money in a bank to show sincerity, was held to be a binding general offer, and it was further held that in such offers the performance of the conditions is itself a sufficient acceptance — no separate communication of acceptance to the offeror is necessary [see also Section 8, acceptance by performing conditions of a proposal].

Application: The advertisement of Swasthya Ayurveda Limited was specific in its terms and the deposit of ₹10 lakh negated any suggestion of a mere puff. Mrs. Kulkarni accepted the general offer by purchasing the tonic and consuming it as per the printed directions for one month.

Conclusion: The advertisement was a valid general offer, and separate communication of acceptance by Mrs. Kulkarni was not necessary; her performance of the conditions constituted acceptance.

(iii) Entitlement to the reward

Provision: Upon acceptance of a general offer by performance of its conditions, a binding contract arises between the offeror and the person performing the conditions.

Application: Mrs. Kulkarni performed all the conditions of the offer and yet contracted influenza; all the elements of a valid contract are present.

Conclusion: Mrs. Kulkarni is entitled to recover the reward of ₹50,000 from the company.

Question 2. Communication and Revocation of Offer and Acceptance [Sections 4 and 5]**(i) Completion of communication**

Provision: Under Section 4, the communication of a proposal is complete when it comes to the knowledge of the person to whom it is made. The communication of an acceptance is complete as against the proposer when it is put in a course of transmission to him so as to be out of the power of the acceptor, and as against the acceptor when it comes to the knowledge of the proposer.

Application: The communication of the offer was complete on 4th August, when the letter reached Mr. Bala. The communication of the acceptance was complete as against Mr. Anil on 6th August, when the letter of acceptance was posted, and as against Mr. Bala on 9th August, when it reached Mr. Anil.

Conclusion: Offer complete: 4th August; acceptance complete against the proposer: 6th August; acceptance complete against the acceptor: 9th August.

(ii) Whether the enquiry was a counter-offer

Provision: A counter-offer, i.e., an acceptance with variations of the terms, rejects the original offer and terminates it [*Hyde v. Wrench (1840)*]. However, a mere enquiry or request for information regarding the terms of the offer is not a counter-offer and does not destroy the offer [principle in *Harvey v. Facey* and allied cases].

Application: Mr. Bala's letter of 4th August merely enquired whether payment in instalments would be acceptable; it neither rejected the offer nor proposed new binding terms in substitution of the original terms.

Conclusion: The enquiry did not amount to a counter-offer, and the original offer remained open for acceptance.

(iii) Validity of revocation

Provision: Under Section 5, a proposal may be revoked at any time before the communication of its acceptance is complete as against the proposer, i.e., before the letter of acceptance is posted, but not afterwards. A revocation is effective only when it comes to the knowledge of the offeree before he posts his acceptance.

Application: The acceptance was posted on 6th August, whereupon the communication of acceptance became complete as against Mr. Anil. His letter of revocation, though posted on 5th August, reached Mr. Bala only on 8th August, i.e., after the acceptance had already been posted.

Conclusion: The revocation is ineffective, and a binding contract for sale of the machine at ₹8 lakh came into existence on 6th August; Mr. Anil is bound by it.

Question 3. Acceptance by Silence and Intention to Create Legal Relations

(i) Silence as acceptance

Provision: Acceptance must be communicated to the offeror in some usual and reasonable manner; mental acceptance or mere silence does not amount to acceptance, and the offeror cannot impose upon the offeree the burden of refusal by stipulating that silence shall be deemed acceptance [*Felthouse v. Bindley* (1862)].

Application: Ajay never communicated his acceptance to his uncle; his private decision to sell and his instruction to the garage keeper were not communications to Mr. Deshpande. The stipulation that silence till Sunday would conclude the contract was of no effect.

Conclusion: No concluded contract came into existence between Mr. Deshpande and Ajay, and the suit against the garage keeper on the basis of such a contract must fail.

(ii) Domestic arrangement with the wife

Provision: An agreement becomes a contract only if it is made with the intention of creating legal relations. Ordinary domestic and social arrangements between husband and wife are presumed not to be intended to create legal obligations [*Balfour v. Balfour* (1919)].

Application: The promise of ₹15,000 per month was a domestic arrangement made in the ordinary course of matrimonial life, without any intention to create a legally binding obligation.

Conclusion: The wife cannot succeed in a suit for recovery of the promised allowance, as the arrangement is not a contract.

(iii) Enforceability of an oral agreement

Provision: Under the Indian Contract Act, 1872, a contract may be express or implied, oral or written; writing is necessary only where a specific statute so requires. An oral agreement satisfying the essentials of Section 10 is as enforceable as a written one.

Application: The oral agreement for sale of the scooter for ₹40,000 satisfies the essentials of a valid contract; no law requires such a contract to be in writing.

Conclusion: The contention of Mr. Firoz is not tenable; the oral agreement is enforceable against him.

Question 4. Privity of Contract and Consideration from a Third Party [Section 2(d)]**(i) The doctrine and the source of consideration**

The doctrine of privity of contract means that a person who is not a party to a contract cannot sue upon it, even if the contract is for his benefit [*Dunlop Pneumatic Tyre Co. v. Selfridge & Co. (1915)*]. However, under Section 2(d), consideration may move from the promisee 'or any other person'; hence, in India, a stranger to the consideration can sue, though a stranger to the contract ordinarily cannot.

(ii) Claim of Vimal

Provision: In *Chinnaya v. Ramayya (1882)*, on identical facts, an old lady gifted property to her daughter with a direction to pay an annuity to the lady's sister, and the daughter executed a writing in favour of the sister; it was held that the sister could recover the annuity, since consideration had moved from a third party (the mother) and the arrangement was in the nature of a family settlement, which is a recognised exception to the doctrine of privity.

Application: Consideration for Sushila's promise moved from Radhabai in the form of the gifted property; Vimal is a stranger to the consideration but the beneficiary of the arrangement, and Sushila had herself executed a writing in Vimal's favour.

Conclusion: Vimal can recover the annuity of ₹12,000 per year from Sushila; Sushila's contentions are not tenable.

(iii) Other exceptions to privity (any two)

(a) A beneficiary under a trust or charge created by the contract can enforce it [*Khwaja Muhammad Khan v. Husaini Begum (1910)*]; (b) where a party acknowledges his liability to a third person, or by his conduct creates an estoppel, the third person can sue; (c) assignee of a contract; (d) contracts entered into through an agent; (e) covenants running with the land.

Question 5. No Consideration, No Contract [Section 25]**(i) Promise out of natural love and affection**

Provision: Under Section 25(1), an agreement made without consideration is valid if it is expressed in writing, registered under the law relating to registration of documents, and is made on account of natural love and affection between parties standing in a near relation to each other. All four conditions must co-exist.

Application: The original oral promise did not satisfy the conditions and was void for want of consideration. The subsequent written and registered document, made out of natural love and affection between brothers who are near relatives, satisfies all the conditions of Section 25(1).

Conclusion: Keshav cannot enforce the oral promise, but he can enforce the written and registered promise of ₹2 lakh.

(ii) Compensation for past voluntary services

Provision: Under Section 25(2), a promise to compensate, wholly or in part, a person who has already voluntarily done something for the promisor is enforceable, even though made without consideration.

Application: Salunkhe voluntarily saved Madhav's goods from fire without any request; Madhav's subsequent promise of ₹25,000 is a promise to compensate past voluntary services.

Conclusion: Salunkhe can recover ₹25,000 from Madhav.

(iii) Promise to pay a time-barred debt

Provision: Under Section 25(3), a promise, made in writing and signed by the debtor or his authorised agent, to pay wholly or in part a debt which is barred by the law of limitation, is enforceable without fresh consideration.

Application: Madhav signed a written promise to pay ₹30,000 out of the time-barred debt of ₹50,000; the promise satisfies the requirements of the section to the extent of the amount promised.

Conclusion: Trivedi can recover ₹30,000 (and not the full ₹50,000) on the basis of the fresh written and signed promise.

Question 6. Legal Rules of Consideration

(i) Inadequacy of consideration

Provision: Consideration need not be adequate; it must only be real and lawful. Explanation 2 to Section 25 provides that an agreement to which the consent of the promisor is freely given is not void merely because the consideration is inadequate, though inadequacy may be taken into account by the court in determining whether the consent was free.

Application: Mrs. Patwardhan sold the car with her free consent, with full knowledge of its value, for reasons of her own convenience. Inadequacy of price is the only ground urged.

Conclusion: She cannot avoid the contract merely on the ground of inadequacy of consideration; the sale at ₹1 lakh is binding.

(ii) Performance of an existing legal duty

Provision: The performance of an act which a person is already legally bound to perform is no consideration for a promise; a public servant cannot claim a reward for merely doing his official duty [*Collins v. Godefroy*; *India: reward cases of public officers*].

Application: Head Constable Pawar was already under an official duty to patrol the area and detect such offences; in furnishing the information he did nothing beyond his existing legal duty.

Conclusion: He is not entitled to the reward, as there is no consideration moving from him.

(iii) Act done at the desire of a third party

Provision: Under Section 2(d), consideration must be furnished at the desire of the promisor. An act done at the desire of a third party is not consideration for the promise. In *Durga Prasad v. Baldeo (1880)*, shops were built at the desire of the Collector, and a shopkeeper's promise to pay commission to the builder was held unenforceable.

Application: Mr. Joshi constructed the market at the desire of the Collector and not at the desire of Mr. Lele, the promisor; Lele's promise is therefore without consideration.

Conclusion: Mr. Joshi cannot recover the promised commission from Mr. Lele.

- (i) Define a contract of guarantee under Section 126 and identify its three parties in the transaction with Global Traders.
- (ii) Whether Mr. Ghosh's guarantee to Global Traders is supported by valid consideration under Section 127.
- (iii) Whether Mr. Ghosh's promise to the moneylender regarding Mr. Imtiaz's son's old debt is enforceable.

Analyzing Sections 126 and 127 of the Indian Contract Act, 1872, advise the parties.

Question 4. Guarantee Obtained by Concealment; Minor as Principal Debtor
[Sections 142 and 143]

(6 Marks)

Jaipur Finance Ltd. employed Mr. Kapoor as a collection agent to recover instalments from its customers. Mr. Kapoor had already failed to account for a part of the collections in the preceding quarter, a fact known to the company. When the company began to suspect irregularities, it asked Mr. Kapoor to furnish security for the due discharge of his duties. Mr. Kapoor approached his friend Mr. Lalwani, who agreed to stand as surety for his honest accounting, without the company disclosing Mr. Kapoor's earlier lapses to Mr. Lalwani. Mr. Kapoor subsequently misappropriated a further sum, and the company now seeks to recover it from Mr. Lalwani under the guarantee.

Separately, Jaipur Finance Ltd. also extended a small consumer loan to Master Rohan, aged 17, for purchase of a laptop, taking a guarantee from Master Rohan's uncle, Mr. Malhotra, for repayment. Master Rohan later failed to repay, and the company seeks to recover the amount from Mr. Malhotra under the guarantee. Mr. Malhotra contends that since the principal debtor, being a minor, could never have been made liable on the loan, the guarantee itself must also be void.

Advise on the following matters:

- (i) Whether Jaipur Finance Ltd. can enforce the guarantee against Mr. Lalwani, given that Mr. Kapoor's earlier lapses were not disclosed to him.
- (ii) Whether the guarantee given by Mr. Malhotra for the loan to Master Rohan, a minor, is valid and enforceable against Mr. Malhotra.
- (iii) State the effect on a guarantee of misrepresentation by the creditor under Section 142.

Analyzing Sections 142 and 143 of the Indian Contract Act, 1872, advise the parties.

Question 5. Specific and Continuing Guarantee; Revocation by Notice [Sections 129 and 130]

(6 Marks)

Mr. Naidu guaranteed to Om Traders, a fertiliser dealer in Guwahati, the payment of price for a single consignment of 200 bags of fertiliser to be delivered to a farmer, Mr. Pillai, and to be paid for within 30 days. Om Traders delivered the consignment and Mr. Pillai duly paid for it in time.

Separately, in an unrelated arrangement, Mr. Naidu also guaranteed to Om Traders payment up to ₹5 lakh for any fertiliser that Om Traders might, from time to time, supply on credit to another farmer, Mr. Qureshi, over the course of the next sowing season. Om Traders supplied fertiliser worth ₹3 lakh to Mr. Qureshi, who paid for it in full. Three months later, Mr. Naidu, having fallen out with Mr. Qureshi, gave written notice to Om Traders revoking his guarantee as to future supplies. Notwithstanding the notice, Om Traders continued to supply fertiliser to Mr. Qureshi, this time worth ₹2 lakh, for which Mr. Qureshi has defaulted.

Advise on the following matters:

(i) Distinguish between a specific guarantee and a continuing guarantee, and classify each of Mr. Naidu's two guarantees.

(ii) Whether Mr. Naidu, having guaranteed the single consignment to Mr. Pillai, could have revoked that guarantee after delivery but before payment.

(iii) Whether Mr. Naidu is liable to Om Traders for the ₹2 lakh worth of fertiliser supplied to Mr. Qureshi after the notice of revocation.

Analyzing Sections 129 and 130 of the Indian Contract Act, 1872, advise Om Traders.

Question 6. Discharge of Surety by Variance and by Release of the Principal Debtor
[Sections 133 and 134]

(6 Marks)

Mr. Rao stood surety to Coastal Bank for the due conduct of Mr. Sinha as a branch cashier, on the terms of Mr. Sinha's original employment contract, which fixed his salary at ₹25,000 per month and his cash-handling limit at ₹2 lakh per day. Six months later, without informing or obtaining the consent of Mr. Rao, the bank revised Mr. Sinha's terms, raising his salary to ₹40,000 per month and his daily cash-handling limit to ₹8 lakh. Two months after this revision, Mr. Sinha was found to have embezzled ₹3 lakh, and investigation revealed that ₹1 lakh of this had been embezzled before the revision of terms and ₹2 lakh after it.

In an unrelated transaction, Mr. Tiwari guaranteed to a hardware supplier the payment of ₹4 lakh owed by a small contractor, Mr. Uddin, for construction material. Later, the supplier, without consulting Mr. Tiwari, accepted a settlement from Mr. Uddin under which Mr. Uddin's liability was reduced to ₹2.5 lakh in full and final discharge, in consideration of immediate payment of that reduced sum, which Mr. Uddin duly paid.

Advise on the following matters:

(i) State the effect on Mr. Rao's liability of the bank's variance of Mr. Sinha's terms of employment without his consent.

(ii) For which part of the embezzled amount, if any, is Mr. Rao liable?

(iii) Whether Mr. Tiwari remains liable to the hardware supplier for any part of the ₹4 lakh, given the composition made with Mr. Uddin.

Analyzing Sections 133 and 134 of the Indian Contract Act, 1872, advise the parties.

Question 7. Rights of a Surety against the Principal Debtor and the Creditor
[Sections 140, 141 and 145]

(6 Marks)

Mr. Verma stood surety to Trust Bank for a business loan of ₹15 lakh taken by his friend Mr. Waghmare. As part of the loan documentation, Mr. Waghmare had also pledged his commercial vehicle, valued at ₹4 lakh, as additional security to the bank, a fact Mr. Verma was unaware of at the time he gave the guarantee. Mr. Waghmare defaulted, and Trust Bank, before proceeding against Mr. Verma, released the pledge on the vehicle without Mr. Verma's consent, in exchange for a partial payment, and subsequently recovered ₹15 lakh in full from Mr. Verma under the guarantee.

Separately, Mr. Waghmare also owed Trust Bank a further ₹2 lakh under a running current account, and the bank, on suing Mr. Verma, sought to recover ₹17 lakh in total (i.e., including this further amount), even though Mr. Verma's guarantee was expressly limited to the ₹15 lakh business loan only.

Advise on the following matters:

- (i) Whether Mr. Verma can claim any reduction in the ₹15 lakh paid by him, on account of the bank releasing the pledge on the vehicle without his consent.
- (ii) What rights, if any, does Mr. Verma have against Mr. Waghmare after having paid the guaranteed amount to the bank?
- (iii) Whether Trust Bank can hold Mr. Verma liable for the additional ₹2 lakh owed under the unrelated current account.

Analyzing Sections 140, 141 and 145 of the Indian Contract Act, 1872, advise Mr. Verma.

Question 8. Liability of Co-Sureties Bound in Different Sums [Sections 146 and 147]

(6 Marks)

Mr. Xavier advanced a loan of ₹12 lakh to Mr. Yusuf, a small manufacturer in Kochi, on the personal guarantees of three sureties — Mr. Zacharia, Ms. Albuquerque and Mr. Braganza — who executed three separate bonds, each undertaking a different maximum liability: Mr. Zacharia up to ₹8 lakh, Ms. Albuquerque up to ₹6 lakh, and Mr. Braganza up to ₹4 lakh.

Mr. Yusuf defaulted, and Mr. Xavier was able to recover only ₹9 lakh from Mr. Yusuf's available assets, leaving a shortfall of ₹3 lakh. Mr. Xavier claims this ₹3 lakh in equal shares of ₹1 lakh from each of the three sureties.

Assume, in the alternative, that Mr. Yusuf's default had instead resulted in a shortfall of ₹9 lakh (rather than ₹3 lakh) after recovery from his assets.

Advise on the following matters:

- (i) State the general rule of contribution among co-sureties under Section 146, and how it is qualified where co-sureties are bound in different sums under Section 147.
- (ii) Compute the amount payable by each of the three sureties in respect of the ₹3 lakh shortfall.
- (iii) Compute the amount payable by each of the three sureties if the shortfall had instead been ₹9 lakh.

Analyzing Sections 146 and 147 of the Indian Contract Act, 1872, advise Mr. Xavier.

Part B — Descriptive Questions

Question 9. Contract of Indemnity: Definition, Rights of Indemnity-Holder (4 Marks)

Define a 'contract of indemnity' under Section 124 of the Indian Contract Act, 1872, and state the rights of the indemnity-holder when sued, under Section 125.

Question 10. Distinction between Indemnity and Guarantee

(4 Marks)

Distinguish between a contract of indemnity and a contract of guarantee under the Indian Contract Act, 1872.

Question 11. Essentials of a Valid Guarantee

(4 Marks)

State the essential requisites of a valid contract of guarantee under the Indian Contract Act, 1872.

Question 12. Modes of Discharge of a Surety

(4 Marks)

Explain briefly the various modes by which a surety is discharged from his liability under the Indian Contract Act, 1872.

Question 13. Rights of a Surety

(4 Marks)

State the rights of a surety against the principal debtor, the creditor, and his co-sureties under the Indian Contract Act, 1872.

Part C — May 2026 Examination Questions**Question 14. [May 2026, Q.4(a)]**

(7 Marks)

Mr. Bhusan is a businessman dealing in retail sale of jewellery made of gold and precious stones. He had approached RCK Bank Ltd. for a loan of ₹70 Lakhs for the purpose of expansion of his business. For availing the loan, Mr. Bhusan mortgaged gold bar worth ₹5 Lakhs and has arranged personal guarantee from Suresh, Suyash, Sumati and Suman, who have agreed to provide guarantee for ₹30 Lakhs, ₹20 Lakhs, ₹10 Lakhs and ₹10 Lakhs respectively in event of repayment failure on part of Mr. Bhusan. Mr. Bhusan invested the loan amount in the business and increased stock of jewellery and set up an additional jewellery showroom in the nearby area.

The gold bars which were mortgaged to the bank by physical transfer were lost due to a burglary committed in connivance with a bank's staff who could not be traced till today. Earlier Mr. Bhusan had also sold a Ganesha Idol made of gold during Diwali to the Bank (on the request of the Bank) to be kept at the Bank's main counter which was worth ₹5 Lakhs for which payment has not been made by the Bank so far. Meanwhile, due to a business downturn, Mr. Bhusan could not repay the loan and the Bank had to approach the guarantors for repayment of the unpaid amount. The Bank has asked the guarantors to contribute the deficit amount equally.

Analysing the relevant provisions of the Indian Contract Act, 1872, decide:

- (i) Whether the Bank's contention as to equal contribution by the persons who have provided guarantee is valid and if not, what amount should be paid by each of the guarantors. [4 Marks]
- (ii) What would be your answer regarding liability of each guarantor towards contribution in case the Bank makes changes in terms and conditions of the loan with Mr. Bhusan without consent and knowledge of any of the guarantors? [3 Marks]

Suggested Answers — Part A**Question 1. Scope of Indemnity and Rights of Indemnity-Holder [Sections 124 and 125]****(i) Definition and parties**

Under Section 124, a contract of indemnity is a contract by which one party promises to save the other from loss caused to him by the conduct of the promisor himself, or by the conduct of any other person. The party who promises to make good the loss is the 'indemnifier', and the party who is promised to be saved from loss is the 'indemnified' or 'indemnity-holder'. Here, Mr. Anand is the indemnifier and Ms. Bala is the indemnity-holder.

A. By revocation: (i) revocation of a continuing guarantee by notice as to future transactions [Section 130]; (ii) revocation of a continuing guarantee by the surety's death, as to future transactions [Section 131]; (iii) by novation [Section 62].

B. By conduct of the creditor: (i) variance in the terms of the contract without the surety's consent [Section 133]; (ii) release or discharge of the principal debtor [Section 134]; (iii) the creditor compounding with, giving time to, or agreeing not to sue the principal debtor without the surety's consent [Section 135]; (iv) any act or omission of the creditor impairing the surety's eventual remedy against the principal debtor [Section 139].

C. By invalidation of the contract of guarantee: (i) guarantee obtained by misrepresentation [Section 142]; (ii) guarantee obtained by concealment [Section 143]; (iii) failure of a co-surety to join where that was a condition of the guarantee [Section 144].

Question 13. Rights of a Surety

A. Against the principal debtor: (i) right of subrogation on payment/performance — the surety is invested with all the rights the creditor had against the principal debtor [Section 140]; (ii) right to be indemnified for whatever he has rightfully paid under the guarantee, by virtue of the implied promise of indemnity under Section 145.

B. Against the creditor: (i) right to the benefit of every security the creditor holds against the principal debtor, whether or not the surety knew of it, with discharge to the extent of any security lost or released without his consent [Section 141]; (ii) right to set off any amount the principal debtor could set off against the creditor; (iii) right to a proportionate reduction in liability if the principal debtor becomes insolvent.

C. Against co-sureties: (i) right to claim equal contribution from co-sureties, in the absence of a contract to the contrary [Section 146]; (ii) where co-sureties are bound in different sums, right to contribution limited to the respective maximum sums guaranteed by each [Section 147].

Suggested Answers — Part C

Question 14. [May 2026, Q.4(a)]

(i) Validity of the Bank's contention and calculation of liability [4 Marks]

Provision: Under Section 147, co-sureties bound in different sums are liable to pay equally as far as the limits of their respective obligations permit — not in a flat equal split disregarding their individual maximum limits. Under Section 141, a surety is entitled to the benefit of every security which the creditor holds against the principal debtor; if the creditor loses such security, the surety is discharged to the extent of its value. Further, the unpaid price of ₹5 lakh owed by the Bank to Mr. Bhusan for the Ganesha Idol can be set off against the outstanding loan.

Application: The gold bar worth ₹5 lakh, mortgaged as security, was lost due to burglary committed in connivance with the Bank's own staff, discharging the guarantors to the extent of ₹5 lakh. The unpaid ₹5 lakh price of the Ganesha Idol sold to the Bank can be set off against the loan. Effective unpaid liability: ₹70 lakh – ₹5 lakh (lost security) – ₹5 lakh (set-off) = ₹60 lakh. An equal division of ₹60 lakh among 4 sureties would be ₹15 lakh each; however, Sumati and Suman are bound only up to ₹10 lakh each and therefore pay ₹10 lakh each (total ₹20 lakh). The remaining liability of ₹40 lakh (₹60 lakh – ₹20 lakh) is shared equally between Suresh and Suyash, whose individual limits of ₹30 lakh and ₹20 lakh respectively can each absorb ₹20 lakh.

Conclusion: The Bank's contention of flat equal contribution by all four guarantors is not valid, since a guarantor's liability cannot exceed the maximum sum guaranteed by him. Each guarantor's liability is: Suresh — ₹20 lakh; Suyash — ₹20 lakh; Sumati — ₹10 lakh; Suman — ₹10 lakh.

(ii) Effect of variance in terms without the guarantors' consent [3 Marks]

Provision: Under Section 133, any variance made without the surety's consent in the terms of the contract between the principal debtor and the creditor discharges the surety as to transactions taking place subsequent to such variance.

Application: If RCK Bank Ltd. changes the terms and conditions of the loan with Mr. Bhusan without the consent and knowledge of any of the guarantors, such a variance is made without their consent.

Conclusion: All four guarantors — Suresh, Suyash, Sumati and Suman — shall be completely discharged from their liability in respect of transactions subsequent to such variation in terms.

Marking Scheme

The general convention followed throughout this book is set out under "The Marking Convention" in the front matter. Only the question-wise departures from it are noted below.

Part A — Case Studies (Questions 1 to 8) • 6 marks each, 2 marks per sub-part

Question 1 (6 marks) — Sections 124 and 125. (i) the definition of a contract of indemnity and the identification of the parties — 2; (ii) whether a loss caused otherwise than by the conduct of the indemnifier is covered by Section 124 — 2; (iii) the three heads recoverable by the indemnity-holder under Section 125 — $\frac{2}{3}$ mark each.

Question 2 (6 marks) — indemnity for an unlawful act; commencement of the indemnifier's liability. (i) whether an indemnity against the consequences of an unlawful act is enforceable — 2; (ii) when the liability of the indemnifier commences (*Gajanan Moreshwar v. Moreshwar Madan*) — 2; (iii) whether the indemnity-holder may compel the indemnifier to place him in funds before payment — 2.

Question 3 (6 marks) — Sections 126 and 127. (i) the definition of a contract of guarantee and the identification of the three parties — 2; (ii) whether anything done for the benefit of the principal debtor is sufficient consideration under Section 127 — 2; (iii) whether a guarantee for a debt that does not exist is enforceable — 2.

Question 4 (6 marks) — Sections 142, 143 and 11. (i) whether a guarantee obtained by concealment of a material circumstance is invalid — 2; (ii) the position of a surety where the principal debtor is a minor — 2; (iii) the effect of misrepresentation by the creditor on the validity of the guarantee — 2.

Question 5 (6 marks) — Sections 129 and 130. (i) distinction between a specific and a continuing guarantee — 2, being descriptive: 1 mark for each limb; (ii) whether the surety remains liable after the single transaction guaranteed is complete — 2; (iii) the effect of a notice of revocation on transactions already entered into and on future transactions — 2.

Question 6 (6 marks) — Sections 133 and 134. (i) the effect of a variance in the terms made without the surety's consent — 2; (ii) the part of the liability, if any, for which the surety remains answerable — 2; (iii) the effect of the release of the principal debtor — 2.

Question 7 (6 marks) — Sections 140, 141 and 145. (i) the surety's right to the benefit of the creditor's securities, and the reduction on loss of a security — 2; (ii) subrogation and the implied promise to indemnify — 2; (iii) the extent to which the creditor may still proceed against the surety — 2.

Question 8 (6 marks) — Sections 146 and 147. (i) the general rule of equal contribution among co-sureties — 2; (ii) computation where the co-sureties are bound in different sums — 1 for the method and 1 for the figures; (iii) computation on the altered facts — 1 for the method and 1 for the figures. The cap in Section 147 must be seen to bind before the balance is shared.

Part B — Descriptive Questions (Questions 9 to 13) • 4 marks each

Question 9 (4 marks) — definition under Section 124 — $1\frac{1}{2}$; the three rights of the indemnity-holder when sued, under Section 125 — $\frac{3}{4}$ mark each ($2\frac{1}{4}$); the condition that he must have acted within his authority — $\frac{1}{4}$.

Question 10 (4 marks) — definitions of the two contracts — 1; any six points of distinction — $\frac{1}{2}$ mark each (3).

Question 11 (4 marks) — the essential requisites of a valid guarantee — $\frac{1}{2}$ mark each up to $3\frac{1}{2}$; reference to Sections 126, 127 and 142 — $\frac{1}{2}$.

Question 12 (4 marks) — discharge by revocation — Sections 130 and 131 — $1\frac{1}{2}$; discharge by the conduct of the creditor — Sections 133, 134, 135 and 139 — 2; discharge by invalidation of the contract — $\frac{1}{2}$.

Question 13 (4 marks) — rights against the principal debtor, Sections 140 and 145 — $1\frac{1}{2}$; rights against the creditor, Section 141 — $1\frac{1}{2}$; rights against co-sureties, Sections 146 and 147 — 1.

Part C — May 2026 Examination Question

Question 14(i) [4 marks]: Section 147 rule of contribution subject to individual limits — 1 mark; Section 141 loss of security and the set-off, correctly identified — 1 mark; correct computation of the effective liability of ₹60 lakh — 1 mark; correct final allocation among the four guarantors (₹20L, ₹20L, ₹10L, ₹10L) — 1 mark.

Question 14(ii) [3 marks]: Section 133 rule stated correctly — $1\frac{1}{2}$ marks; application and conclusion that all four guarantors are discharged as to subsequent transactions — $1\frac{1}{2}$ marks.

Total: Part A 48 marks + Part B 20 marks + Part C 7 marks = 75 marks.

Full credit is to be given where the candidate reaches the correct conclusion through the Provision → Application → Conclusion sequence, even if the exact section number is not quoted, provided the substance of the provision is correctly stated. Where a figure is asked for, the method and the figure carry separate marks; a correct figure with no working does not earn the method marks.

UNIT 8

Bailment and Pledge

Sections 148 to 181

Part A — Case Studies ($8 \times 6 = 48$ Marks) · Part B — Descriptive Questions ($5 \times 4 = 20$ Marks) · Part C — May 2026 Examination Question (6 Marks)

Learning Outcomes

- **Bailment Essentials:** Understand the concept and essential elements of Bailment (Sec 148).
- **Classification:** Distinguish between Gratuitous and Non-Gratuitous bailments.
- **Rights & Duties:** Analyze the reciprocal duties and rights of Bailor and Bailee.
- **Lien Types:** Differentiate between Particular Lien (Sec 170) and General Lien (Sec 171).
- **Pledge Rules:** Master Pledge (Sec 172) and examine circumstances where a non-owner can create a valid pledge (Sec 178–179).

Overview

- **Bailment Definition (Sec 148):** Delivery of movable goods for a specific purpose, to be returned/disposed of. (No transfer of ownership; custody without possession is NOT bailment).
- **Key Duties:** Bailor: Disclose known/all faults (Sec 150), Bear extraordinary expenses (Sec 158). Bailee: Reasonable care (Sec 151), No unauthorized use (Sec 154), No mixing without consent (Sec 155–157), Return goods + accretions (Sec 160, 163).
- **Lien:** Particular Lien (Sec 170: specific goods for labor/skill) vs. General Lien (Sec 171: general balance for Bankers, Factors, Wharfingers, Attorneys, Policy Brokers).
- **Pledge (Sec 172) & Non-Owner Pledge:** Bailment as security for debt. Valid pledge by non-owners: Mercantile Agent (Sec 178), Person in possession under Voidable Contract (Sec 178A), Limited Interest (Sec 179), Co-owner, Buyer/Seller in possession.

High-Priority Topics for the Examination

1. Duties of Bailee regarding Mixing of Goods (Sec 155–157) — Separable vs. Inseparable mixture consequences.
2. Particular Lien vs. General Lien — Differences and specific parties entitled to general lien under Sec 171.

3. Pledge by Non-Owners — Conditions for valid pledge by mercantile agent or under voidable contracts.

4. Bailee's Liability for Reasonable Care (Sec 151/152) — Case studies on loss due to negligence vs. natural calamities/riots.

Instructions: Case study answers should be framed in the pattern of Provision → Application → Conclusion, citing Sections 148 to 181 of the Indian Contract Act, 1872 along with the case law given in the ICAI Study Material. In the May 2026 examination this Unit was tested through Question 6(b), which carried 6 marks and was set in the alternative — a candidate had to answer any one of two options. Option 1 was drawn entirely from this Unit, and in Option 2 sub-part (ii) was also from this Unit, so that a student who had prepared this Unit properly could have answered either option. Question 6(b) is reproduced in full in Part C, both options together, with answers to all four sub-parts; sub-part (i) of Option 2 belongs to Unit 5 and is included only for completeness. ICAI traditionally favours this Unit for short, section-anchored theory questions, so students should be able to reproduce the statutory lists of duties, rights and liens accurately, while the case studies below train them to apply those lists to facts.

Part A — Case Studies

Question 1. Essential Elements of Bailment; What Amounts to Delivery [Sections 148 and 149]

(6 Marks)

Mr. Ananth, a jeweller in Coimbatore, was concerned in three separate transactions in the course of the same week. First, he drove to a shopping complex and parked his car in the paid parking lot operated by Mr. Balaji, locked the car and kept the keys with himself. While the car stood parked, it was damaged by a reversing vehicle. Mr. Ananth claims that Mr. Balaji, being the bailee of the car, must make good the damage.

Second, Mr. Ananth's wife, Mrs. Chitra, delivered her old silver articles to Mr. Deshmukh, a goldsmith, to be melted down and fashioned into a bowl. Every evening she took back the unfinished bowl and placed it in a box kept at Mr. Deshmukh's shop, retaining the key of that box with herself. One night the bowl was stolen from the box, and Mrs. Chitra now seeks to hold Mr. Deshmukh liable as a bailee.

Third, Mr. Ananth deposited ₹5 lakh in cash into his current account with a bank, and now contends that the bank holds that money as his bailee and must return the very same currency notes.

Advise on the following matters:

- (i) Define bailment under Section 148 and state the essential elements of a valid contract of bailment.
- (ii) Whether the parking of the car with Mr. Balaji and the keeping of the silver bowl in the box at Mr. Deshmukh's shop constitute contracts of bailment.
- (iii) Whether the deposit of ₹5 lakh in cash with the bank amounts to a bailment.

Analyzing Sections 148 and 149 of the Indian Contract Act, 1872, advise the parties.

Question 2. Bailor's Duty to Disclose Faults in the Goods Bailed [Section 150]

(6 Marks)

Mr. Ehsaan owned a diesel generator which, to his knowledge, had a defective winding that caused dangerous electrical sparking. He lent it free of charge to his neighbour Mr. Farooq for a family

following conditions must be satisfied: the agent should not be in a position, or have any opportunity, to communicate with his principal within the time available; there should have been an actual and definite commercial necessity for the agent to act promptly; the agent should have acted bona fide and for the benefit of the principal; he should have adopted the most reasonable and practicable course in the circumstances; and he must have been in possession of the goods belonging to his principal which are the subject of the contract.

Application: Mr. Prakash was in possession of perishable goods, was stranded by heavy rain with no means of reaching Mr. Sudhakar, and sold the tomatoes in the nearby market to prevent their perishing altogether. He acted as a man of ordinary prudence would have acted in his own case, and with the intention of protecting his principal from a greater loss.

Conclusion: Mr. Prakash acted within his authority in the emergency, and Mr. Sudhakar will not succeed in recovering the loss from him.

(iii) Excess of authority: separable and inseparable

Provision: Under Section 227, where an agent does more than he is authorised to do, and the part of what he does which is within his authority can be separated from the part which is beyond it, so much only of what he does as is within his authority is binding as between him and his principal. Under Section 228, where what the agent does beyond the scope of his authority cannot be separated from what is within it, the principal is not bound to recognise the transaction at all.

Application: The two insurance policies procured by Mr. Quereshi are distinct and severable, one on the ship being authorised and the other on the cargo being unauthorised. The purchase by Mr. Rajan of 500 sheep and 200 lambs was made for one consolidated sum of ₹6,00,000, so that the authorised part cannot be separated from the unauthorised.

Conclusion: Mr. Nandkishore is bound to pay the premium for the policy on the ship but not that for the policy on the cargo. In the sheep transaction he may repudiate the whole of it.

Question 5. Sub-agent and Substituted Agent

(i) Distinction, and when a sub-agent may be appointed

Under Section 191 a sub-agent is a person employed by, and acting under the control of, the original agent in the business of the agency, whereas under Section 194 a person named by an agent holding express or implied authority to name another to act for the principal is not a sub-agent but an agent of the principal for that part of the business entrusted to him. A sub-agent works under the control and directions of the agent and a substituted agent under the instructions of the principal; the agent delegates a part of his own duties to a sub-agent but delegates nothing to a substituted agent; there is no privity of contract between the principal and the sub-agent, whereas privity exists between the principal and a substituted agent; a sub-agent is responsible to the agent alone and cannot sue the principal for his remuneration, whereas a substituted agent is responsible to the principal and can sue him for remuneration. Under Section 190 an agent cannot lawfully delegate what he has expressly or impliedly undertaken to perform personally, on the principle *delegatus non potest delegare*; a sub-agent may be appointed only where the terms of the appointment originally contemplated it, where the customs of the trade so provide, or where an unforeseen emergency in the course of the agent's employment makes delegation necessary.

(ii) The sub-agent appointed without authority

Provision: Under Section 192, where a sub-agent is properly appointed, the principal is liable to third parties for his acts, the agent is responsible to the principal for his acts, and the sub-agent is

responsible for his acts to the agent but not to the principal, except in the case of fraud or wilful wrong. Under Section 193, where an agent without authority to do so appoints a person to act as a sub-agent, the agent is responsible for that person's acts both to the principal and to third persons, the principal is not responsible for the acts of the sub-agent, and the sub-agent is not responsible to the principal at all, being answerable only to the agent.

Application: Neither the terms of Mr. Tarun's appointment nor the custom of the trade permitted delegation, and no unforeseen emergency arose; Mr. Umesh was therefore a sub-agent appointed without authority.

Conclusion: Mr. Tarun is liable to Mr. Sohail for the damage to the goods, even though it was Mr. Umesh who in fact carried them. Mr. Umesh is answerable only to Mr. Tarun.

(iii) The auctioneer and the ship surveyor

Provision: Under Section 194, a person named by an agent who holds express or implied authority to name another to act for the principal is not a sub-agent but an agent of the principal. Under Section 195, in selecting such a person the agent is bound to exercise the same amount of discretion as a man of ordinary prudence would exercise in his own case; if he does so, he is not responsible to the principal for the acts or negligence of the agent so selected.

Application: Mr. Vijay was expressly authorised to employ an auctioneer and named Mr. Wasim accordingly. In the second matter he selected a ship surveyor of good reputation, thereby exercising the discretion of a man of ordinary prudence, although the surveyor then acted negligently.

Conclusion: Mr. Wasim is not a sub-agent but a substituted agent, that is, Mr. Sohail's agent for the conduct of the sale, and is answerable to Mr. Sohail. Mr. Vijay is not responsible to Mr. Sohail for the negligence of the ship surveyor; the surveyor himself is.

Question 6. Duties and Obligations of an Agent

(i) Duty to follow the principal's directions or the customs of the trade

Provision: Under Section 211, an agent is bound to conduct the business of his principal according to the directions given by the principal or, in the absence of any such directions, according to the custom which prevails in doing business of the same kind at the place where the agent conducts such business. When the agent acts otherwise and any loss is sustained, he must make it good to his principal, and if any profit accrues he must account for it.

Application: It is not the custom in Mr. Yogesh's line of business to sell on credit, yet Mr. Zubair sold the goods on credit to a firm which was insolvent at the time of the sale, and the price has proved irrecoverable.

Conclusion: Mr. Yogesh will succeed. Mr. Zubair must make good to Mr. Yogesh the loss caused by the sale on credit.

(ii) Duty not to deal on his own account

Provision: An agent must not deal on his own account in the business of the agency without first obtaining the consent of his principal. Where he does so without the principal's knowledge, the principal may, under Section 215, repudiate the transaction if it appears either that the agent has dishonestly concealed any material fact from him or that the dealings of the agent have been disadvantageous to him; and may, under Section 216, claim from the agent any benefit which may have resulted to him from the transaction.

Part A — Case Studies (Questions 1 to 8) • 6 marks each, 2 marks per sub-part

Question 1 (6 marks) — Sections 182 to 185. (i) the definitions of ‘agent’ and ‘principal’ and the test of agency — 2; (ii) whether the act done binds the principal — 2; (iii) capacity to be an agent, and the absence of any requirement of consideration under Section 185 — 2.

Question 2 (6 marks) — Sections 186, 187 and 237. (i) the modes in which agency may be created — ½ mark each up to 2; (ii) agency by estoppel or holding out and the principal’s liability to the third party — 2; (iii) agency of necessity and the conditions on which it arises — 2.

Question 3 (6 marks) — Sections 196 to 200. (i) meaning and effect of ratification, and its essentials — 2; (ii) whether the act ratified binds the principal although disadvantageous — 2; (iii) whether an act which would injure a third person may be ratified, Section 200 — 2.

Question 4 (6 marks) — Sections 188, 189, 227 and 228. (i) the extent of an agent’s authority in the ordinary course — 2; (ii) the conditions of an agency of emergency under Section 189 — 2; (iii) the position where the agent exceeds his authority, and whether the excess is severable — 2.

Question 5 (6 marks) — Sections 190 to 195. (i) distinction between a sub-agent and a substituted agent — 2, being descriptive: 1 mark for each limb; (ii) who answers to the principal for the acts of a properly appointed sub-agent — 2; (iii) whether the person named is a sub-agent or a substituted agent, with the consequence as to privity — 2.

Question 6 (6 marks) — Sections 211 to 216. (i) the duty to conduct the business according to directions or usage — 2; (ii) the duty not to deal on his own account, and the principal’s remedies on breach — 2; (iii) the duty to render proper accounts and to pay over sums received — 2.

Question 7 (6 marks) — Sections 217 to 225. (i) the right to remuneration and when it becomes payable — 2; (ii) the right of retainer and the agent’s lien — 2; (iii) the right to be indemnified against the consequences of lawful acts — 2.

Question 8 (6 marks) — Sections 201 to 210. (i) the modes of termination under Section 201 — ½ mark each up to 2; (ii) whether the revocation is effective, and the position of an agency coupled with an interest — 2; (iii) when termination takes effect as against the agent and as against third persons — 2.

Part B — Descriptive Questions (Questions 9 to 13) • 4 marks each

Question 9 (4 marks) — meaning of ratification with Section 196 — 1; the essentials of a valid ratification — ½ mark each up to 3.

Question 10 (4 marks) — meaning of each, with Sections 191 and 194 — 1; the points of distinction, privity with the principal being the decisive one — ½ mark each up to 3.

Question 11 (4 marks) — remuneration, retainer, lien, indemnity against the consequences of lawful acts and of acts done in good faith, and compensation for the principal’s neglect — ¾ mark each (3¾); section references — ¼.

Question 12 (4 marks) — the general rule under Section 230 — 1; the exceptional cases in which the agent is personally liable — ½ mark each up to 3.

Question 13 (4 marks) — the modes of termination under Section 201 — 2; when an agency becomes irrevocable, Sections 202, 204 and 205 — 2.

Part C – May 2026 Examination Question

Question 14(i) [3 marks]: the rule that acceptance must be absolute and unqualified and that a variation amounts to a counter-offer, with Section 2(b) or Section 7 – 1 mark; the effect of a counter-offer in extinguishing the original offer, with Hyde v. Wrench – 1 mark; absence of consensus ad idem under Section 13 and the conclusion that no valid contract came into existence – 1 mark.

Question 14(ii) [2 marks]: any four of the five remedies correctly stated – ½ mark each. The remedy against the agent, resting on Sections 211 and 228, should be treated as essential, and no more than 1½ marks be awarded where it is omitted.

Question 14(iii) [2 marks]: the agent's duty to communicate the principal's terms correctly and the characterisation of the failure as misrepresentation under Section 18 – 1 mark; the consequences, namely Ravi's right to rescind and to recover the ₹5 lakhs, Rakesh not being compellable to sell at ₹10 lakhs, and Vikash's liability to both – 1 mark.

Total: Part A 48 marks + Part B 20 marks + Part C 7 marks = 75 marks.

Full credit is to be given where the candidate reaches the correct conclusion through the Provision → Application → Conclusion sequence, even if the exact section number is not quoted, provided the substance of the provision is correctly stated. Where a figure is asked for, the method and the figure carry separate marks; a correct figure with no working does not earn the method marks.

Note: Full credit should be given where a student arrives at the correct conclusion through the Provision → Application → Conclusion structure, even if the exact section number is not quoted, provided the substance of the provision is correctly stated, and where the final numerical answer is correct even if intermediate workings are presented differently.